# Creating an External Agreement Transcript

# Document Control

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## WELCOME AND COURSE INFORMATION

Welcome to the "Creating an External Agreement" course. When you are ready to get started, click the "Start" button to begin.

This training covers what an External Agreement is and gives you an opportunity to practice creating one.

By the end of this course, you will be able to:

- Describe what an External Agreement is, and
- Execute the process to efficiently create External Agreements.

## CONTEXTUAL BACKGROUND

The "External Agreement," or "EDE," is used for agreements with other federal agencies, including other VA organizations not in iFAMS.

This differs from the "Internal Agreement," or "IDE," which is used exclusively for agreements where both the buyer and seller reside within iFAMS.

The External (EDE) agreement document will have two levels of approval in iFAMS: an "Administrative Programmatic" approval and FSC approval. There are also additional approval requirements from FSC based on a dollar threshold. If the dollar amount is between $100 million and $1 billion, the FSC FAS Director will also need to provide approval. If the dollar amount is greater than $1 billion, the FSC FAS Director will need to provide approval as well as a leader in FSC at the SES level.

Now, Authorized users can create the EDE document in iFAMS.

Let's review EDE creation process.

## STEPS TO CREATING AN EXTERNAL AGREEMENT

To create the EDE transaction, in iFAMS, open the Transactions Menu by clicking on the Transaction Icon in the Menu Bar, and click on the "Project Cost Accounting" option in the menu. When the submenu expands, select "New." From that list, select "External Direct Agreement." As you create the EDE, remember to save frequently to prevent losing any work.

When on the "New External Direct Agreement" page, there are form fields you will need to fill out. In the "Document Type" field, enter "EDE." Then, click the "Generate" button to the right of the "Document Number" field to create a new document number, which gets populated in the corresponding Document Number field. Record your Agreement Document Number. Type in a title in the "Title" form field. In this example we will use "Contract Medical FY24 Doe." "FY24" represents

the current fiscal year. “Doe” is the example last name we will use for this. Refer to your local office’s SOPs for more specific information regarding title naming convention. Then, click “Finish.”

Now that the new EDE transaction has been created, you will need to fill out the Header information.

In the “General” group box, there are two columns. In the left column, enter in the “Agreement Number,” which would be populated with the G-Invoicing order number, or for ad-hoc’ing, would be provided by the FSC. For this example, we will use, “O123456JD.” Then, enter an “Agreement Name,” which, in this example is “Con Med Agreement FY24 Doe.” Verify that the “Reimbursable” and “Spend and Reimbursable Within Fund” flags are set to “True.” The reimbursable flag set the agreement as a reimbursable agreement, and the fund flag allows the spending and reimbursement to remain within the same fund. Enter in your full name in the “Issued By” form field. In the “VA Agreement Type” form field, type in the agreement type, in this example “VAAGREEMEN.”

In the right column, enter in the “Agreement Start Date,” here we are using 10/01/2023, and the “Agreement End Date” listed in this example as 09/30/2024. Scroll down to the “Description” entry field. For the “Description” entry field, refer to your local office to get specifics as to what is required to enter here. For our purposes in this example, we are using “Contract Medical Agreement FY24 VBA Benefits.”

Scroll down to the “Vendor Information” group box. Enter in your “Vendor,” in this example MVA110, and select a “Funding Source,” which for our purposes here is “Federal.”

Scroll down to the “Amounts” group box. In the Amounts group box, enter the “Maximum Agreement Amount” which will be the maximum agreement amount for all lines combined; this is the ceiling amount for the agreement as a whole. We will enter in $300,000 in this form field.

Once the Header information is filled out, you will need to complete the “Header Accounting Lines.” Navigate to here by clicking on the “Header Accounting Lines” subtab. Once on the Header Accounting Lines page, click on the “Add” button.

In the “General” group box, verify that the transaction type is “01.” If it is not, input “01” in the form field. Enter the “Agreement Line Number,” which usually is “1.” Verify that the “Revenue Control” is set to “Reject.” If it is not, change to “Reject” so that the agreement does not generate revenue in excess of this line of the agreement. Then, verify in the “Spending Control” subgroup box that this is also set to “Reject.” Again, if it is not, adjust it to “Reject.”

In the Line Amounts group box, enter in the “Maximum Billable Amount,” which, in this example, is $300,000.

In the “Accounting Dimensions” group box, enter in the accounting template to be used for this transaction. When using iFAMS and entering Accounting Dimensions, it is best practice to copy and

paste the Accounting Dimensions Template code or use the search function to find it. Typing in the Accounting Dimensions template code can lead to it not being accepted due to human error. Click on the "Default" button. Find the "Revenue Source" form field and enter what has been provided; we will use "920R12" in this example. Then, find the Business Event Transaction Code, or BETC, form field and enter in the code you have been given, in this example "COLL."

In the "Billing Options" group box, enter the billing start date and billing end date, in this example we'll be using 10/01/2023 and 09/30/2027, respectively. Then, verify the "Bill Type," here it is "IPAC," and the "Receivable Type," here as "FED." In the "Bill Frequency" subgroup box, select the "Bill Cycle" from the dropdown, which in this example is "Every X Months," and enter the "Frequency Interval (X)." We are using "1" in this example to represent "X," meaning that the buyer is set up to be billed every month. Select the "Bill Print" option from the dropdown, in this example it is "No," and check the "Accrue Revenue Box." In the "Billing Control" subgroup box, verify "Billing Control" is set to "Reject."

In the "Interagency Transfer" group box, verify the "Customer Funding Source," which for External Direct Agreements should always be "Agreement" and enter the "Customer Agency Location Code," in this example we are using "36001200." Verify that the "Unit" is set. It is commonly either "DO," which stands for "dollar" or "EA" which stands for "each." We will be using EA in this example.

In the "Customer Treasury Symbol" subgroup box, enter in the "Short Key," for our example, we are using "036X0102."

For the "Transaction Contact" field, enter your name, in this example "Jane Doe." Then type in your contact phone number, here as "123-456-7890" in the Contact Number field. Then, enter in your email in the Contact Email form field. We are using "test@va.gov" in this example.

Then, enter in the "Inter Agency Description." Refer to your local office for specifics on what is required to enter here. For this example, we are using "VBA GOE Contract Medical Agreement with VBA Benefits."

In the "User Defined Fields" group box, enter "FMS" Cost Center, here, it is "304000." In the "Description" group box, enter in the applicable description, in this example "Contract Medical Agreement FY24 VBA Benefits."

Now we can complete the transaction. Save by clicking the "Save" button.

Click the "Verify" button so that you can add the required supporting agreement documentation. These attachments can be the signed "Interagency Form 7600" or the "VA Form 2269." Attach forms in the "Document Attachments" window by clicking the ellipses button at the bottom of the page, then select "Attachments." Drag and drop your form into the drop location in the Attachments Window that opened, or click the link to open your File Explorer, and make your selection from there. Make sure to set any applicable values to "true" upon upload. Here, we're marking

“Attachment” and “Signed” as true. You must click “Apply” to ensure the documents are attached. When you have the supporting documents attached, close out of the “Attachments” window by clicking the “X” button in the upper right-hand corner.

At the bottom of the page, click “Save,” and “Verify.” Resolve any errors, if applicable, and select “Submit.”

You’ll know your External Agreement has been submitted successfully when you are alerted by a message box at the top of the page.

## PRACTICE ENVIRONMENT

Now, it’s your turn. You will need to carry out the reviewed steps to create an External Agreement. You will be directed to the Creating an External Agreement Sandbox Environment. In this environment, you are not timed or graded. However, you will get feedback based off your selections as you progress through the practice.

Take time now to review any of the previously presented content and download the Creating an External Agreement Process Guide now available on your screen. When you are ready, click the “Begin” button to enter the sandbox environment.

## WRAP UP

Congratulations! You have completed the Creating an External Agreement training! In this course we described what an External Agreement is, outlined the process to create an External Agreement, and gave you some practice so you can execute the steps in your day-to-day. Come back any time to review the content or to practice creating an external agreement.

Please provide feedback for the course using the course evaluation survey so we can continue to improve training efforts.